

H41: Fixed Risk on MNQ vs Fixed Contracts

Same frozen strategy (#19, C91756637ca7282e7), same trades, different position sizing. Companion to the full H41 research report · 23 Sep 2026 · data to 10 Aug 2026

Bottom line. Fixed risk is **better** than fixed contracts for H41. It weights every trade equally, and profit factor after the freeze rises from 1.34 (1 NQ) to 1.40 (\$150 risk). There is one catch at your budget. NQ is now so volatile that **one MNQ often risks more than \$150**: in 2026 the median stop was 63 points = \$126 per MNQ. A strict \$150 rule would have skipped 33% of 2026 trades, and the skipped trades were just as profitable as the rest. **Aim for \$150, but take 1 MNQ whenever that risks no more than \$250**, and skip only above \$250. Every trade stays inside your \$150–\$250 range, and very few signals are lost.

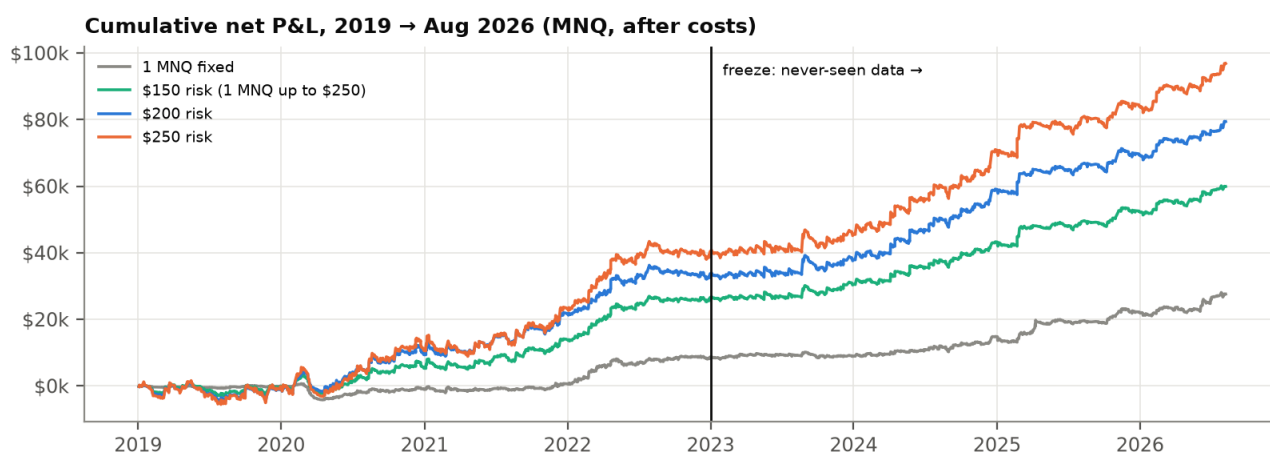
What changes when you switch to fixed risk

- **Position size follows volatility.** Contracts = risk budget ÷ (stop distance in points × \$2), rounded down. Calm days get more MNQ, wild days get fewer. With 1 NQ, dollar risk swung from about \$100 (2019) to over \$2,500 per trade. With fixed risk it stays inside the budget.
- **Profit factor goes up; the dollar curve gets smoother.** With fixed contracts the big-stop, high-volatility trades dominate the dollar result, and they were the weaker trades (see the volatility-tercile chart in the main report). Fixed risk gives each trade the same weight, so the dollar results match the R results: PF about 1.3 over 2019–26 and about 1.4 after the freeze.
- **Rounding means you usually risk less than the budget.** You can only trade whole MNQ contracts, so the real risk is typically 75–90% of the target. With only 1–2 MNQ, one contract more or less is a big jump.
- **Micro costs are relatively higher.** Assumed at \$2.50 per MNQ round trip (\$1.50 commission + 1 tick per side), which equals 1.25 points, compared with 0.7 points on NQ at \$14. It is still small next to a stop of 50–70 points.
- **Drawdowns become predictable in dollars.** At \$200 per trade the worst post-freeze drawdown was \$4,727 and the worst day –\$1,008. That is the figure to compare with a prop firm's limits (page 3).

Side-by-side: post-freeze 2023 → Aug 2026 (data never used to select the strategy)

Metric	1 NQ fixed	1 MNQ fixed	\$150 skip if 0	\$150, 1 MNQ up to \$250	\$200 MNQ	\$250 MNQ
Trades taken (skipped)	1001 (0)	1001 (0)	885 (116)	987 (14)	966 (35)	987 (14)
Profit factor	1.34	1.31	1.40	1.40	1.43	1.40
Profit factor, stress costs	1.31	1.28	1.35	1.36	1.38	1.35
Win rate	31%	31%	29%	31%	30%	31%
Net P&L	\$200,096	\$18,908	\$29,232	\$33,366	\$45,750	\$56,522
Net P&L per year	\$55,705	\$5,264	\$8,138	\$9,289	\$12,737	\$15,735
Average trade	\$200	\$19	\$33	\$34	\$47	\$57
Average \$ risk per trade	\$936	\$94	\$116	\$122	\$160	\$206
Risk range (min – max)	\$235 – \$4,585	\$24 – \$458	\$76 – \$150	\$76 – \$249	\$100 – \$200	\$126 – \$250
Contracts (avg / max)	1.0 / 1	1.0 / 1	1.7 / 6	1.7 / 6	2.3 / 8	2.9 / 10
Max drawdown (closed trades)	\$21,361	\$2,206	\$2,846	\$2,846	\$4,727	\$5,428
Worst losing run (consecutive)	–\$13,947	–\$1,404	–\$1,580	–\$1,580	–\$2,508	–\$3,114
Worst day	–\$11,088	–\$1,116	–\$810	–\$1,116	–\$1,008	–\$1,390
Worst week	–\$12,126	–\$1,222	–\$1,042	–\$1,328	–\$1,393	–\$1,829
Top-10 trades as % of net	65%	69%	74%	65%	67%	70%

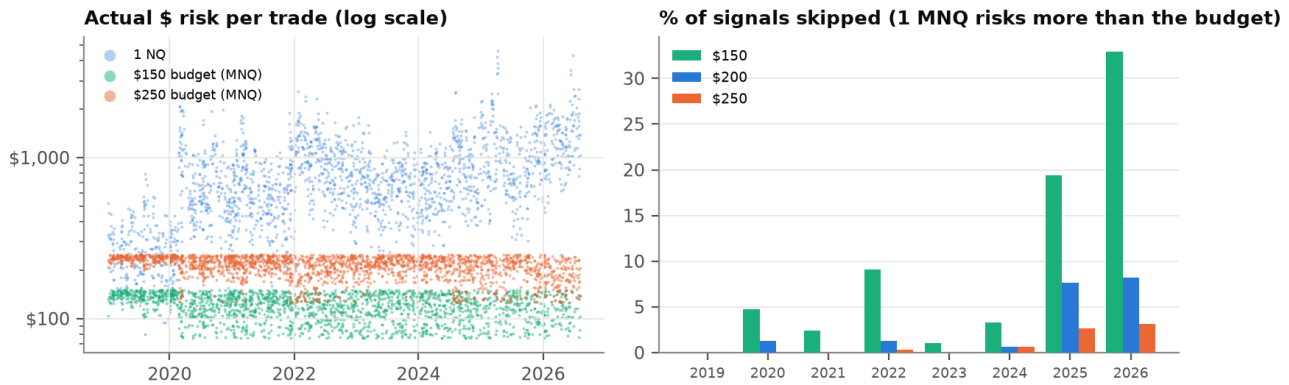
All MNQ columns use \$2 per point and \$2.50 per round trip per contract (stress: \$4.25). 1 NQ uses \$20 per point and \$14 (stress \$26). 'skip if 0' = no trade when a single MNQ would risk more than the budget; '1 MNQ up to \$250' = if \$150 buys 0 contracts, trade 1 MNQ when it risks ≤ \$250, else skip. Drawdowns use closed-trade equity.



Same comparison over the full out-of-sample record, 2019 → Aug 2026

Metric	1 NQ fixed	1 MNQ fixed	\$150 skip if 0	\$150, 1 MNQ up to \$250	\$200 MNQ	\$250 MNQ
Trades taken (skipped)	2208 (0)	2208 (0)	2040 (168)	2193 (15)	2165 (43)	2193 (15)
Profit factor	1.26	1.24	1.31	1.31	1.31	1.29
Profit factor, stress costs	1.24	1.20	1.25	1.26	1.25	1.23
Win rate	30%	30%	29%	30%	30%	30%
Net P&L	\$299,938	\$27,565	\$55,187	\$59,894	\$79,407	\$96,844
Net P&L per year	\$39,507	\$3,631	\$7,269	\$7,889	\$10,459	\$12,756
Average trade	\$136	\$12	\$27	\$27	\$37	\$44
Average \$ risk per trade	\$788	\$79	\$119	\$124	\$165	\$212
Risk range (min – max)	\$95 – \$4,585	\$10 – \$458	\$76 – \$150	\$76 – \$249	\$100 – \$200	\$126 – \$250
Contracts (avg / max)	1.0 / 1	1.0 / 1	2.5 / 15	2.4 / 15	3.3 / 21	4.1 / 26
Max drawdown (closed trades)	\$48,427	\$4,896	\$4,196	\$5,652	\$6,076	\$8,796
Worst losing run (consecutive)	–\$47,685	–\$4,812	–\$3,940	–\$5,569	–\$5,904	–\$8,498
Worst day	–\$11,088	–\$1,116	–\$989	–\$1,116	–\$1,336	–\$1,698
Worst week	–\$17,623	–\$1,781	–\$1,882	–\$2,281	–\$2,898	–\$3,647
Top-10 trades as % of net	45%	49%	41%	38%	40%	42%

The catch: your budget vs today's stop size



Year	Median stop (pts)	1 MNQ risk	1 NQ risk	\$150: skip / MNQ / used	\$200: skip / MNQ / used	\$250: skip / MNQ / used
2019	12.5	\$25	\$250	0% / 6 / 93%	0% / 8 / 94%	0% / 10 / 95%
2020	26.8	\$54	\$535	5% / 2 / 84%	1% / 3 / 90%	0% / 4 / 90%
2021	30.8	\$62	\$615	2% / 2 / 82%	0% / 3 / 87%	0% / 4 / 89%
2022	46.2	\$92	\$925	9% / 1 / 77%	1% / 2 / 80%	0% / 2 / 83%
2023	32.8	\$66	\$655	1% / 2 / 79%	0% / 3 / 85%	0% / 3 / 89%
2024	37.8	\$76	\$755	3% / 2 / 79%	1% / 2 / 83%	1% / 3 / 86%
2025	47.2	\$94	\$945	19% / 1 / 78%	8% / 2 / 79%	3% / 2 / 84%
2026	63.1	\$126	\$1,262	33% / 1 / 77%	8% / 1 / 76%	3% / 2 / 74%

skip = share of signals where 1 MNQ risks more than the budget · MNQ = median contracts traded · used = median actual risk as % of budget. 1 NQ = 10 MNQ.

Skipping is not free. Over 2019–26 the trades a strict \$150 rule would skip averaged +0.23R each, about the same as the trades it keeps (+0.22R). At \$200 and \$250 the few skipped trades averaged +0.42R and +0.73R. They are high-volatility trend days, the fat right tail this strategy depends on. At current volatility, a strict \$150 rule gives up about a third of the signals for no gain in quality. The '1 MNQ up to \$250' rule keeps nearly all of them. After the freeze, 12% of trades (33% in 2026) then risk \$150–\$250 instead of $\leq$ \$150. Only about 1–3% of signals (stops wider than 125 points) are still skipped, and no trade risks more than \$250.

Prop-firm evaluation: what the odds look like

Each simulated evaluation starts at \$0 and draws random whole trading days (every trade that day) from 2019–Aug 2026, with the day's trades in their real order, for up to 120 trading days. It **passes** when closed equity reaches the target. It **fails** if equity falls the trailing-drawdown amount below its peak, or if one day loses more than the daily limit. 6,000 runs per row. The rules are **generic examples**. Put in your firm's numbers (see caveats).

Sizing	DD cushion	Pass	Fail	Not done in 120 days	Median days to pass	Pass, planning edge
Example A: target \$3,000 · trailing DD \$2,000 · daily loss \$1,000						
\$150 risk, skip if 0	13R	53%	44%	4%	44	37%
\$150 risk, 1 MNQ up to \$250	13R	54%	43%	3%	42	38%
\$200 risk	10R	46%	54%	0%	25	35%
\$250 risk	8R	41%	59%	0%	17	31%
Example B: target \$6,000 · trailing DD \$3,000 · daily loss \$2,000						
\$150 risk, skip if 0	20R	29%	25%	46%	80	18%
\$150 risk, 1 MNQ up to \$250	20R	32%	26%	42%	79	19%
\$200 risk	15R	42%	46%	12%	63	27%
\$250 risk	12R	40%	58%	2%	44	27%

Planning edge: every trade shifted down so the average is +0.12R instead of the 2019–26 average (+0.22R), matching the conservative case in the main report.

How to read it

- **There is no single best budget; it depends on the firm's numbers.** A bigger risk budget reaches the target in fewer days, but it leaves a smaller cushion before the drawdown limit (column 'DD cushion'). With Example A (small target), \$150 with the 1-MNQ-up-to-\$250 rule gives the best odds, about 54%. \$250 leaves only an 8R cushion and drops to about 41%. With Example B (target twice as far), \$150 is too slow: about 40% of runs have not finished after 120 days. \$200 does best there, at about 42%.
- **Rule of thumb:** choose a risk per trade that keeps the trailing drawdown at least 13–15× the risk (this strategy has had 15-trade losing streaks after the freeze). Then check that the target, divided by about +0.2R per trade and about 5 trades a week, fits the time you have.
- **The pass rate is roughly a coin flip even with a real edge**, and roughly 1 in 5 to 2 in 5 under the planning-case edge. A 30% win rate and long losing runs are a poor fit for tight trailing drawdowns. Expect to need more than one attempt, and budget for it.
- **Once funded**, stay at the low end until the forward record meets the gate in the main report (150 trades at $\geq +0.08R$).

Caveats

- Many prop firms trail the drawdown on *unrealised* intraday equity. H41 lets winners run all day, so open-profit give-backs will tighten a real trailing limit faster than this closed-trade simulation shows. The real pass rate is likely somewhat lower.
- Check that the firm allows holding to 15:59 New York, and whether it has news or contract limits. The strategy never holds overnight.
- The resampling assumes the 2019–26 day mix repeats. Clustered bad regimes (for example 2010–16, when the edge was absent) are not captured.
- Sizing and costs are applied to the frozen strategy's regenerated trades; the rules themselves are unchanged. This is a research illustration, not personal financial advice.